



The \$186 Billion Nobody Stopped

Student copy (project or hand out)

1 Federal agencies made roughly \$186 billion in improper payments in fiscal year 2025, the Government Accountability Office reported this month. About 82 percent of that sum went to people or programs that should not have received it, most of it overpayments rather than fraud, just dollars that went out the door wrong. The figure rose \$24 billion in a single year. That is only the floor.

2 The Agriculture Department runs something called the Emergency Conservation Program, which helps farmers repair land after a flood or a fire. In fiscal 2023 its improper payment rate was 13.5 percent; by fiscal 2024 it was 45.2 percent. The rate had climbed above ten percent for four straight years.

Unemployment Insurance ran a 14.9 percent error rate and \$5.6 billion in improper payments, ninth among the federal programs that miss by more than ten cents on the dollar. The Earned Income Tax Credit, the benefit working families count on at tax time, missed by 32.7 percent: \$21.1 billion. Medicaid lost \$37 billion. Medicare lost \$57 billion in that one year alone.

3 These were not accidents discovered in the dark and corrected by morning. When a program crosses ten percent error for one year, that is a stumble; when it crosses ten percent for two years, that is a pattern; when seven agencies cross ten percent for two or more consecutive years, that is a decision, repeated, by people who knew. The Treasury knew. Veterans Affairs knew. Labor knew. Agriculture knew. Health and Human Services knew. Education knew. The Corporation for National and Community Service knew. Five of those seven did not even keep the documented policies that would let them report the failure on time.

4 Since 2003, federal agencies have made an estimated \$3 trillion in improper payments. Three trillion dollars is not a scandal that broke this week; it is the slow weather of two decades. It is the cost of every year the watchdog filed its report and the same programs filed the same numbers. The five largest programs alone accounted for about \$128 billion of last year's total, two-thirds of the whole.

5 We funded all of it. The agencies whose budgets are our taxes, the abstract Treasury, those are not who pays in the end; the household that filed on time pays, and the worker whose check was light. The watchdog has done its job. It counted, it named, it published the rates and the years and the agencies. The rest is not the GAO's to fix. It belongs to the seven agencies that have now been told, in writing, for years, exactly where the money goes.

AP-style multiple choice:

1. In the second paragraph, the writer presents the programs in an order of increasing magnitude, from the obscure Emergency Conservation Program up to Medicare, primarily to
 - A) prove that smaller federal programs are managed far more carelessly than the larger ones
 - B) arrange the examples so each carries higher stakes than the last, making the scale felt first
 - C) suggest the Earned Income Tax Credit is the most poorly run program in government
 - D) establish that improper payments are confined to a few unusually troubled federal agencies
2. In the third paragraph, the repetition of "knew" at the end of each clause naming an agency most directly serves to
 - A) assign responsibility to each named institution rather than to a faceless system
 - B) soften the accusation by spreading blame thinly across many bodies
 - C) question whether the agencies were aware of their own error rates
 - D) concede that the agencies faced obstacles beyond their control

Discussion questions:

1. The writer insists the \$186 billion figure is "only the floor." What does the piece treat as the actual failure, and how does the structure of the second paragraph build toward that distinction?
2. The closing paragraph shifts from naming agencies to naming "the household that filed on time and the worker whose check was light." How does that shift change who the reader understands to be harmed, and why might the writer save it for the end?

Writing prompt (Homework or extended in-class, Q3 argument):

The opener argues that the central failure in federal improper payments is not the dollar amount but the repetition: agencies that crossed a ten percent error rate for multiple consecutive years without correcting course. Some would counter that error rates in programs as large and complex as Medicare or the Earned Income Tax Credit are an unavoidable cost of delivering benefits at national scale, and that a low percentage of a huge number will always look enormous in dollars. Write an essay in which you defend, challenge, or qualify the claim that persistent improper payment rates above ten percent should be treated as institutional failure rather than the ordinary friction of running large programs. Use reasoning and your own knowledge or examples to support your position; you need not accept the writer's framing.